Transcript: The Future of Money

By Washington Post Live

(Washington Post) -- MS. LEE: Hello, everyone. Good afternoon. Welcome. I'm Jennifer Lee, events director here at The Washington Post. Thank you all for joining us here in person and at home for a series of conversations about the future of money.

In some ways, that future is already here. I'm sure some of you can't even remember the last time you used cash to pay for something. In fact, the majority of Americans now use contactless payment. Similarly, many countries are now experimenting with digital reserve currencies. Today we will better understand this new and emerging world of money, the promise and risks, as well as the forces shaping it.

First, we will hear from Irene Arias Hofman, CEO of the IDB Lab, the innovation and venture capital arm of the Inter-American Development Bank, and Eswar Prasad, professor at Cornell University and author of the book, "The Future of Money." They will speak with global economics correspondent at The Washington Post, David Lynch.

Then Craig Vosburg, chief services officer at Mastercard, will sit down with Abha Bhattarai, economics correspondent at The Post. And Denelle Dixon, CEO and executive director of Stellar Development Foundation, will talk about how the future of money is being built onchain with our chief communications Officer, Kathy Baird.

I would like to thank Stellar Development Foundation for sponsoring today's program, which is in partnership with DC Fintech Week.

I will now hand it off to Chris Brummer, founder of DC Fintech Week.

[Applause]

DR. BRUMMER: Welcome, everyone. My name is, again, Chris Brummer, and I am a professor over at Georgetown and founder of DC Fintech Week. It's a conference that takes place across the city, and this is actually a bit of a finale. We've had events over at the International Spy Museum, over at Fannie Mae, satellite events across the city, and it is a true pleasure to have our final conversation at the most Washingtonian of all institutions, The Washington Post.

Fintech has gone through various iterations, just like money. It's, in many ways, the ultimate consumer product. Whether or not you have it, you still know exactly what it is, and yet every institution that attempts to facilitate money, touch money, lend money, ultimately has to go through a series of engaging with consumers and increasingly regulators and even central bankers in terms of putting forward their vision as to how money and how payments can be facilitated in a way that are both--that is both secure and ultimately delivers a use case and value that enhances the well-being of the holder of that money.

So, at DC Fintech Week, for over eight years, we've provided a platform for people, for everyone, regardless of their station, to participate in a conversation that, again, is inherently international, as you'll hear, and involving regulators, central bankers, thought leaders, diplomats, academics, and more. It is a deeply interdisciplinary project where we've roped in the best and brightest of the city, and again, it's why it's a real pleasure to have The Washington Post working with us in this series of conversations.

If you'd like to learn a little bit more about us, you can visit us at DCFintechWeek.org, and with that, I think we'll just carry it on to the wonderful conversation to come. Thank you.

[Applause]

MS. LEE: Thank you, Chris.

My colleague, David Lynch, will be out after this short video.

[Video plays]

MR. LYNCH: Good afternoon, and welcome to The Washington Post. I'm David J. Lynch, the paper's global economics correspondent.

We've got a great lineup. You've heard the introductions--Irene Arias Hofman, CEO of IDB, the venture capital arm of the Inter-American Development Bank, and Eswar Prasad, a former IMF official, current professor at Cornell, and the author of a great book on the future of money, the end of money, and we've got a great topic this afternoon.

I want to start, Eswar, with some very basic sort of setting of the landscape. Money is changing. We all know the physical money. If I go in and buy a haircut, I put down two 20s and get the services, but at the end of the month, my credit card bill gets settled from my bank. Nobody picks up a bag of cash and walks it over to Visa or Mastercard. What's the difference between that type of non-physical digital money and the new developments we're seeing in the marketplace?

DR. PRASAD: So, David, it's worth thinking about the different roles of money as a medium of exchange that one can use for our payment transactions, as a store of value, and as a unit of account, and the reality that as a payment mechanism, which is how most of us encounter money, money is becoming digital.

In fact, in some corners of the world, like China and India, money has practically become fully digital. The last time I was in Beijing, I tried to use a yuan banknote to pay for my taxi ride, and the cab driver looked at me like I was from a different planet and, of course, had no change.

What is important, though, is that the settlement asset with your credit card bill and also what happens with the sort of interfaces we may use to conduct payment transactions is still money issued by central banks, fiat currency. But what is interesting is not only are we finding different ways to conduct payment transactions without using physical currency, which is certainly on its way out, but we're also seeing other types of money emerge, privately issued monies, which are beginning to compete once again with central bank-issued fiat currencies.

You know, many, many centuries ago, you had competition between fiat currencies issued by governments and these sorts of private currencies, and now you have blockchain-based decentralized cryptocurrencies but also stable coins, which effectively are stable because they are backed up by fiat currencies but can use them more effectively. So we're seeing a lot of competition, and what really matters is what is most effective from the point of view of consumers, businesses, and so on. And here I think digitization is certainly having a lot of benefits, and that's the world we're moving towards now.

MR. LYNCH: It sounds like a potential breakthrough or advantage, but it also sounds like there's the potential for instability as we move from one regime to the next. What are sort of the risks as we go from a fully fiat system to one where there is competition from private providers?

DR. PRASAD: Now, one issue is how central banks are responding to this competition, and in many parts of the world, they are responding by issuing digital versions of their own currencies, so-called "central bank digital currencies," or CBDCs. Now, at some level, one might argue that in a country like the U.S., where still a significant proportion of the population is unbanked, about 5 percent by FDIC estimates, you know you can have Apple Pay or Google Pay, but you need to link that to a bank account or a credit card, and many people don't have that. So a CBDC might, in fact, make it easier to broaden financial inclusion, give everybody easy access to a digital payment system.

Now, in India and China, this is happening without the government being the front-facing payment providers, although in India, the government is providing the payment infrastructure. In China, Alipay and WeChat Pay are doing a great job.

Now, with CBDCs, you know, we might move into a world where we cannot conduct any transactions without physical currency anymore, and that is going to be a very convenient world. But it's also potentially a scary world where every transaction we undertake--I buy you a cup of coffee--either a private payment provider, a credit card company, or a bank, or the government in some form is going to know about it. One can also think about central bank digital currencies, you know, being used for other types of social and economic engineering.

You know, the good thing about digital money is you can control who uses it, how it is used, which may be wonderful things from a policy point of view, but you can see how technology, as in many other cases, can lead us to a bright world but potentially a much darker world as well, where the government uses money essentially as a tool of broad economic and social policies.

MR. LYNCH: Now, Irene, these central bank digital currencies or other new forms of money, how do they play into your work for the bank and particularly in the venture capital space? Are there startups that you've supported that are active in this realm?

MS. ARIAS HOFMAN: Thank you, David.

And, first, well, what we are seeing, yes, in the venture capital space, a lot of innovators, a lot of startups that are coming up that are digitally native and that are bringing solutions to end consumers in terms of having a digital wallet that is adapted to the needs of farmer organizations.

In Peru, for example, Argos is an example of that, a company that is allowing these organizations to have, for the first time, better access to the financial system and to markets in general, because they can now store not just value but also data of their product and prove, for example, that they are compliant with regulations in Europe for environmental standards.

So we are seeing a lot of development that goes beyond just the convenience and the easiness and the fact that money becomes digital. So the landscape is, yes, digital money and a lot of innovation happening there on many fronts. And Professor Prashant mentioned not just the digital private currencies and stable coins but also the CBDCs. So digital money is one piece of it.

Digital assets is another piece of it, and the networks on which all of this is happening--and we are also seeing innovations on--at that level. And I can--I can explain a little bit what we are seeing and also the various degrees of development in different countries that are taking more initiative in from the public side and from the private side and what those are. Brazil comes to mind as one of the best examples following the example of India in terms of building a very consistent stack from digital ID to digital instant payment systems and bringing people on board into the financial system that never had access. And now for the first time on these ways, they do, so--

MR. LYNCH: Yeah. Now, as I understand it, every country in the G-20 is at least exploring a central bank digital currency, two of the countries that have already introduced them, Jamaica and the Bahamas. Are there any lessons learned from their experiences that are worth noting for other countries that are going down this path? Any stumbling blocks that others should watch for?

MS. ARIAS HOFMAN: Yes. So many, many central banks are experimenting with or doing pilots or having a roadmap for issuing their first CBDC. The JAM-DEX, or Jamaica Digital Exchange, is an example of that, or Bahamas.

The--one of the--first of all, I think central banks do have to just do it, because there's been a lot of piloting, tens of countries just talking about those plans. But second, you need also the entire ecosystem to develop as well, for that to really trickle down and benefit and bring value to the end consumers. It's not just issuing the digital currency that is going to solve it. Yeah.

MR. LYNCH: Okay. Eswar, I want to bring it down to the level of the average person, and we have a question from our listening audience. Dale Harmon from Pennsylvania asks, "We all have pay apps on our phone and debit cards. Why do we need a digital currency?"

DR. PRASAD: That's a hugely important question, and to build on what Irene said, there are many countries around the world that are looking to CBDCs, essentially because nobody uses physical currency anymore.

China and India are particularly interesting examples, because they haven't rolled out their CBDCs nationwide, the digital yuan and the digital rupee, but they're pretty advanced in terms of their planning. But in both of these countries, the difficulties that the central banks are facing is that nobody seems to want this digital money.

In China, as I mentioned, Alipay and WeChat Pay do a perfectly good job of providing very low cost, easily accessible digital payments. In India, the government has set up the Unified Payments Infrastructure, which is a payment network, on top of which private payment providers can provide payment services, but they have to provide interoperability, which essentially means that these payment systems have to talk to each other. And it's working remarkably well in both countries.

So the question is, why do we need a CBDC? And the answer that these two central banks are coming up with is potentially interesting, because, you know, with digital money, the cool thing is you can build in lots of nice features, and that can certainly make it very attractive. You can build in programmability features, which allows these CBDCs to be used not just in traditional finance but even in blockchain-based decentralized finance, which has been the topic of the Fintech Week here over the last few days.

But you can also think about building in other features, you know, money with expiry dates, money that can be used only for certain purposes, only by certain people, which all sounds wonderful, but again, I worry a great deal about moving to that world where central bank-issued money becomes a tool of economic and social policies.

But having said that, there are many benefits, and in fact, some of these benefits of shifting away from cash don't even require a CBDC. In many low-income countries in Africa, like Kenya and Somalia and so on, we have basic mobile phone-based apps, and these are not requiring smartphones, just flip phones, and the good thing for consumers and businesses, which are largely small-scale businesses there, is that you don't have to deal with the hassles of handling cash. You don't have to worry about

s. You don't have to worry about theft. You don't have to worry about the fact that the financial system is not working very well in providing financial services, because now your flip phone gives you a lot of financial power. So there is a lot of good coming from this but also something that we as a society should think very hard about building guardrails so that we don't end up in a world where money, again, becomes an instrument that goes beyond economic policy or payments.

MR. LYNCH: Yeah. Irene, I want to ask you to sort of talk about the potential upside for poorer countries in terms of facilitating cross-border payments, prompter settlement, instant settlement, in fact, from some new forms of money. Is this--are these developments, the changing form of money, something that offers real promise to the countries that you work with?

MS. ARIAS HOFMAN: Definitely, definitely. We are still in a world where in most countries, three out of ten people don't have access to the financial system, but they do have a phone. And we do have this ability on this new type of infrastructure to transfer, do these digital transfers and onboard them and bring them into the financial system. So that's the upside is financial inclusion is one example of it.

It's the ability to be able to send money home. I mean, remittances are still, for some countries--Haiti, Honduras--30 percent of their GDP, and a lot of people who have jobs that are now borderless--they may be in their home country, and instead of taking a dangerous route and migrating to the U.S., they can actually do their job from their country cross-border. So, as a payment means, this is tremendously powerful as a way for them to also receive payment for their job and make those jobs available to many, many more people. So those are three examples of the kind of upside that you can have.

And the companies that we're seeing emerging--well, you know, Stellar Foundation is hosting this--we are looking at a company that is using their network, is a company from Mexico, and this company is allowing instant payment to people in Mexico that are doing jobs across the world and not just workers in Mexico, anywhere in the world. How are they doing it? Because they have built a digital wallet. Then they are using USDC as a stable coin to transfer the payment and as the on and off ramp. There are partners involved, MoneyGram with 350,000 outlets around the world is their partner. So it's a tangible benefit to somebody who would otherwise be completely cut off the financial system but does not have any more to wait until they can access a bank account or a credit card to be able to participate in the economy, in the digital economy.

MR. LYNCH: Great. Eswar, I'm going to come back to you with another audience question. Quick question and a quick answer, as we're getting low on time. Jill Carel from Florida asks, "Will the U.S. ever become a cashless digital only society?" And she says, "That scares me."

[Laughter]

DR. PRASAD: You know, there are three countries in the world, advanced countries, that turn out to use cash a lot because they love cash. It's the U.S., Japan, and Switzerland. They're three very advanced and very rich countries.

That is the reality. I mean, the convenience for both businesses and households of using digital money is certainly going to make it a pervasive medium of exchange, and it's going to come with some costs in terms of privacy and potentially other aspects of our liberties. But I think we might be able to build guardrails around those. Both domestic and international payments, I think the reality is that those are going to become digital. As Irene pointed out right now, international payments, in particular, are beset by all sorts of frictions. You know, they're very slow, expensive, difficult to track in real time. So technology is really proving to be very beneficial in getting around these hassles, and that's going to improve our lives as consumers and businesses.

MR. LYNCH: Irene, is Jill right to be a little bit afraid of this brave new world, cyber risks, fraud concerns? There's all sorts of issues with technology that one could get worried about. Is she right to worry, or are these problems that will inevitably be ironed out?

MS. ARIAS HOFMAN: [Laughs] Well, I would say that, look, we have an opportunity to--instead of--just like you have the ability today of sending a movie across continents on WhatsApp for free instantaneously, to do the same with financial assets, why not?

And in terms of fraud, actually, it would be easier to detect, to track, because with the flip side that, you know, you may be able to control it in different ways, but certainly, fraud, of course, is a concern. But it's actually a less concern than in the current levels of fraud that you have in the fiat world.

MR. LYNCH: Yep.

MS. ARIAS HOFMAN: So it is manageable, and the upside is enormous.
MR. LYNCH: Makes sense. In the 30 seconds we have left, Eswar, I'll look to you for a prediction. What are the chances that the Fed gets around to issuing a U.S. central bank digital currency within the next presidential administration, within the next four years?
DR. PRASAD: Highly unlikely. I think the U.S. is going to resist that, and I think, like me, most of us here do like having our dollar bills still.
The degree of political resistance is great, and I think like any other good central bank, the Fed will move forward, only there is broad public and political support for it. And we're not there yet.
MR. LYNCH: So you don't think they're making a mistake taking their time?
DR. PRASAD: No. I think it's good in this particular case not to move fast and to learn lessons from the experiences of others and build a CBDC in a way that actually works--or right now the Fed has already put in place, FedNow, a suite of retail and wholesale payment services that I think will achieve a lot of what a CBDC or a digital dollar could achieve. So we may get to the objective without necessarily having a digital dollar.
MR. LYNCH: Okay, fair enough. I think we may have only scratched the surface this afternoon, but if nothing else, perhaps we've piqued your interest. It's a fascinating topic, fast developing, but we'll have to close there.
I want to thank my guests and say that my colleague, Abha Bhattarai, will be out next with Craig Vosburg of Mastercard.
Thanks. Again, I'm David Lynch of The Washington Post.
[Applause]
[Video plays]
MS. BAIRD: Hi, everyone. As we just heard and saw, artificial intelligence, online lending, cryptocurrencies, and emerging technologies are reshaping the future of finance. I'm Kathy Baird. I'm the chief communications officer here at The Washington Post, and joining me today to discuss how onchain solutions are accelerating access and transforming how we experience everyday financial services is Denelle Dixon, CEO and executive director at Stellar Development Foundation.
Denelle, thank you so much for joining me.
MS. DIXON: Oh, I'm so happy to be here, and I love that video.
MS. BAIRD: Same. Really good.
[Laughter]
MS. BAIRD: So Stellar is a network that has so many real-world applications in use today, from Colombia to Ukraine, as we were just watching. Let's start with the latest story on the network out of Colombia. What's happening there? What does this story tell us about blockchain's ability to make an outsized impact in places that traditionally have struggled with financial access?
MS. DIXON: It's such a great question, and I love it because it focuses on the onchain effects. And so much of what blockchain is intended to do is sort of

remove borders, to make it simple for value to transfer through--that don't hit a border and create friction.

And what we're seeing in Colombia is--and this in San Francisco, Colombia, the town that this is highlighting in that video--you're actually seeing that the women in that town were working as executive assistants for people that were remote. They weren't able to get paid except for in cash, and then the individual, what you probably didn't see in this, is the individual that was the--he created the company. He actually--in delivering the cash, he was robbed and almost killed and because he would get the cash from the bank to drive it up two hours from the--into San Francisco.

And what he then started using is Decaf, and Decaf is a wallet that's built on Stellar. And there's an integration that we have with MoneyGram. MoneyGram has 180,000 locations globally, seamless transition from a digital asset to cash. And they could then cash out at the MoneyGram once they received the U.S. dollar-backed asset and spend money in their town and have the ability to, like, have their employment in their town. So the onchain effects are pretty dramatic when you see what happens in communities like that, when you can get access to the digital asset and the cash-out requirements.

MS. BAIRD: Yep, yep, sure. So SDF, Stellar Development Foundation, has been collaborating with partners as well in Ukraine on their digital transformation initiatives, long before the war broke out even. So, in the aftermath of the war, were you able to mobilize a first-of-its-kind, cash-aid solution built on blockchain, and if so, can you tell us about this?

MS. DIXON: Yeah, it was so fun to be able to do this because we saw--we had been working with Zelensky and his administration. They really wanted to move to a cashless society. This was pre-war. The war happened, and we were like, gosh, what can we do to support this? And we reached out to the UNHCR. We started this relationship with them, and the UNHCR moved from February of that year, and we started delivering aid in November and December of that year, which is remarkable for any organization but particularly for an organization of that scale.

And so now they deliver aid on a weekly basis into Ukraine. It's super simple because you can actually send the value. The UNHCR can send a text message saying you are eligible to receive aid, download this wallet. The wallet has the value in it as soon as they download. They can then choose with their own independence, their own autonomy to go cash out. They can hold it. They can move it to their bank account. They can do a lot of things. It just creates a lot of seamless and simplicity for the refugee or the internally displaced person, and it saved the--UNHCR recently talks about how much money it saved them on the back end to be able to deliver the aid they have.

MS. BAIRD: That's a really powerful story and so real-time.

So from that, how has your work in Ukraine evolved? Most recently, we heard you're collaborating with banks and other partners to stand up something really exciting on a national level.

MS. DIXON: Yeah, I think it's been great, because we initially started working with them to pilot, which is--which is sort of a version of the digital hryvnia that they could put onchain, and they could see how that worked. That was the first thing we then did, worked with them to deliver aid through the UNHCR.

And now we're working with them on this transparency payment network that they're developing there, and this is a consortium of banks and a digital provider that have come together to be able to provide instant payments onchain. Again, that's with peer-to-peer but also to merchants. When you get merchants involved, it makes it so that there's no need to cash out ever, and you can just use and buy the resource that you need using that. And with all this, you know, the reformation and all the money coming in to be able to create and develop Ukraine again once the war is over, this is going to be a really important part.

One of the things why Zelensky wanted a cashless society is the idea--and this is one of the reasons why the UNHCR really likes the blockchain too--it's an immutable public record. It eliminates fraud, makes it very simple. It's very transparent. Anybody can check to see where the value is being transferred, and that is huge for everywhere, but particularly, I think, Zelensky thought in Ukraine.

MS. BAIRD: Interesting, interesting. So switching gears a little bit, a really important question. SDF has had an interesting approach over the years to growing blockchain adoption. In particular, you've been focused on working with traditional finance, and it seems like more players in the space are adopting the strategy now as well. Why has this been your approach?

MS. DIXON: It's so funny. When I first started, I came into the space six years ago. I came from traditional fintech--I mean, financial infrastructure--I mean--sorry--technological infrastructure, so Web2, as those of us old people say. And that was a very different model. And then when we got to--when I came over here, it was like we are going to disrupt and make everybody irrelevant, and you're only going to use blockchain. And I was like, that's just not possible, because you need a credit card or a bank account to be able to buy a digital asset. So, like, that made no sense to me.

And so we really focused on what do we need to do. We need to integrate with traditional financial infrastructure to make it work together to enhance that, and then also to demonstrate that the value that companies like MoneyGram, 75-year-old companies, already bring to the financial infrastructure on a global basis, they can solve a problem that, frankly, blockchains can't solve, because it's that last mile. It's getting the--turning the digital asset into fiat. And it's such an important piece right now. Unless and until everyone goes cashless and you don't have fiat, it's a really important piece.

So the interoperability piece, it's coming from my Web2 days. It's very much about, like, everything should work together seamlessly. You can--the traditional financial infrastructure can disrupt itself by leveraging more of this, and that's what we're seeing. We're seeing TradFi come into this and start to issue their own assets. We have a money market fund on Stellar that was issued by Franklin

Templeton. We have bonds on Stellar issued by WisdomTree. So it's really cool to be able to work with that kind of infrastructure.
MS. BAIRD: Yeah. So on that note of everyone, everyone adopting, what's needed now in order to accelerate adoption and more real-world use?
MS. DIXON: We have a lot of really amazing, like, guardrails and infrastructure from a legislative and policy standpoint outside of the U.S. We don't have it here yet, and I think that in order to really make this be so that banks can get involved in it, we need to see, like, stable coin legislation. We probably need to see market structure bills. We need to see, like, a lot more policy engagement in the United States. There's been a lot of it outside the United States, and I think it's moving pretty smoothly.
So it'd be pretty great to see that. You're going to see more financial players come into it, which frankly enhances the system and makes every blockchain stronger when you have financial players in this space. So I'm looking forward to seeing that happen in the next year for sure.
MS. BAIRD: Okay. Well--
MS. DIXON: I've been saying that for a while, though.
[Laughter]
MS. BAIRD: Well, keep saying it.
Well, I think that's it from us today. But, Denelle Dixon, CEO and executive director at Stellar Development Foundation, thank you so much for the conversation. I learned a lot in this conversation.
And now we'll continue with the rest of our programming. Thank you.
MS. DIXON: Thank you.
[Applause]
MS. BHATTARAI: Hi, everyone. I am Abha Bhattarai, the economics correspondent here at The Washington Post, and I am here with Craig Vosburg, chief services officer at Mastercard.
Craig, welcome to The Post.
MR. VOSBURG: Thank you. It's great to be here. I had to take a minute to read that quote. That was a long quote.
[Laughter]
MS. BHATTARAI: Well, I'm going to start with what seems like an obvious question, but I think for most of us, we think of Mastercard as something that's in our wallet that we use to pay for things. But the company is actually much bigger than that. It's a credit card network. Tell us what that means, what we might not know about it.
MR. VOSBURG: Well, first, I hope it's in all of your wallets and that you all use it very often, but we're much more than a credit card network. In fact, we're often mischaracterized as being a credit card company, and that's actually not what Mastercard is.
Mastercard is a technology company. We're a data company. We're a payments company. We use that technology in lots of different ways to intermediate the

exchange of value and do lots of other things as it relates to payments and the payments ecosystem.

You know, that's often associated with card products. Obviously, debit and credit card products are a very important part of what we do, but our payments capabilities extend well beyond that into account-to-account payments, in real-time payments, in blockchain-enabled payments, in disbursements and remittances. And we're using our technology to enable economic growth all around the world, so--

MS. BHATTARAI: We've been hearing a lot about the evolution of money this afternoon. From your perspective, you talked a lot about how you guys are a technology company.

MR. VOSBURG: Yep.

MS. BHATTARAI: What's been the biggest technological driver of that evolution?

MR. VOSBURG: Well, there's this ongoing migration towards the digitization of everything, and that has such a significant impact on all of our lives as consumers, on businesses and how business is conducted, and with that, more broadly, on commerce. And a critical component of commerce is payments. Without the exchange of value in the form of a payment, commerce doesn't happen.

And so focusing on where and how Mastercard, as a company, can leverage its technology, bring that to bear to facilitate commerce in ways that are seamless, that increasingly meet our expectations as consumers who are sort of bombarded with different sort of stimuli all the time as part of our digital experience, whether that's through interacting with a smartphone, apps, online, mobile experiences, et cetera, they all have implications for what we expect from a payments experience. And that's what we're investing in enabling, to ensure that we can deliver that kind of payments experience in a way that is intuitive and meets our modern-day expectations for a digital experience that's ubiquitous. Payments solutions, payments products that don't have ubiquity in terms of their availability and acceptance are not relevant to us as consumers or businesses.

And, importantly, this is a theme I think we'll need to come back to as part of this conversation in a digital world, ensuring that they're secure, because it's always been an issue to ensure the security of a payment. In a digital context, the way in which security manifests and needs to be ingrained or embedded in a payments proposition is a little bit different, and that's an area where we've invested and focused a significant amount of energy over the years.

MS. BHATTARAI: Give us a sense of how quickly that's changing. What is something that consumers need in commerce now that maybe wasn't--you know, wasn't a factor five years ago or ten years ago?

MR. VOSBURG: Well, I would say there's an important element of what consumers are looking for that really has to do with choice, and it comes back to this. The way our expectations evolve and are influenced by living in a world that through digitization, we kind of have come to expect infinite choice and instant gratification across multiple dimensions of our lives.

MS. BHATTARAI: Mm-hmm.

MR. VOSBURG: And so for Mastercard, that means really investing in ensuring we're providing choice to consumers in how they pay, actually to any payer, consumer or a business, and how they pay and any receiver of a payment in how they get paid. And I alluded to it earlier, but that's really manifested itself in our business in diversifying the capabilities that we have to intermediate the movement of money, and again, moving away from the historical association of Mastercard as being in the credit and debit card business, but really significant investments in helping economies around the world upgrade their payments infrastructure with real-time payments capabilities, helping to bring blockchain-enabled payment solutions into real world--with real-world use cases to improve the exchange of funds between--in B2B transactions, for example, helping consumers move money across borders with remittances, maybe to friends or family if they're working overseas more seamlessly, more conveniently, with more transparency around the cost and the time that it takes to move that money. Enabling disbursements and connectivity to all of these digital devices to load funds onto wallets, be able to get funds out of wallets, all this proliferation of choice is a really important part of how our business has evolved to meet the expectations of consumers as their expectations have evolved.

MS. BHATTARAI: We heard in the first panel that the United States is behind many other countries when it comes to how we pay for things. Do you agree with that, and what should we be doing that other countries are already doing?

MR. VOSBURG: I would not--I wouldn't argue that the U.S. is behind. I think when--you have to look at that in the context of the evolution of payment systems and their ability to deliver on the objectives that any given economy or any given country is seeking through its payment system. A payment system needs to provide a degree of efficiency to power economic growth, right, to power economies and empower people--

MS. BHATTARAI: Mm-hmm.

MR. VOSBURG: --to be able to do what it is they need to do.

We have a very well-established payment system. Our digital payment system is now going on--you know, the cards payment system is now going on roughly 60 years of existence, decades older than many other markets around the world. But you have to look at that in the context of the widespread availability, the widespread acceptance, the widespread access that consumers and businesses have to that network.

We like to say that payments is one of the networks that powers the modern economy, and that has been true in the United States for many, many years. Yes, there will be ongoing investment and innovation in upgrading the payments infrastructure in the United States, but in terms of delivering a seamless, secure, ubiquitous experience to enable commerce to take place, we have a very well-established and very effective system.

There will be other use cases that will be--it will helpful to see the adoption of real-time payments in this market that will have an impact. That's coming. There's two real-time payment systems in the U.S. now that are up and running, one of which is powered by Mastercard's technology. And so the market will continue to evolve.

But I think my view would be that the payments infrastructure in the U.S. meets the needs of this economy and this market very effectively.

MS. BHATTARAI: Perfect. I would like to switch gears just for a minute to the U.S. consumer. When you look at the economic data, they're spending. They're spending big. They're propelling the economy. But you have a really interesting vantage point here. What are you guys seeing in terms of consumer spending?

MR. VOSBURG: Well, we do have an interesting vantage point. We actually use that to power a broad range of macroeconomic insights that we share with many of our partners through the Mastercard Economics Institute.

MS. BHATTARAI: Mm-hmm.

MR. VOSBURG: And, of course, we see a lot of spending activity within the broad universe of Mastercard cardholders around the globe, and what we see, what we've continued to see, is a very resilient consumer. Despite some of the prognostications around the direction of the economy--will we have a soft landing, a hard landing, whatever the case may be?--the consumer has continued to be alive and well and is continuing to spend on the things that matter to them. There's been a little bit of a reallocation within the consumer's wallet--

MS. BHATTARAI: Mm-hmm.

MR. VOSBURG: --particularly across different income strata where, not surprisingly, given some of the inflationary pressures that we've had, we've seen some reallocation at the mid-to-lower-income strata into necessities. And the mid-to-upper-income strata, we continue to see very healthy spending around things that it seems like we all really missed during the pandemic and we're still catching up on: on travel, on experiences, on spending time with friends and family and doing the things that we all enjoy. And so we remain optimistic on the outlook on the consumer and hope for that resilience to continue.

MS. BHATTARAI: What about buy now, pay later? We've been seeing these programs everywhere. How does that fit into the picture here?

MR. VOSBURG: Well, buy now, pay later is another capability. When you talk about giving consumers choice, that's another kind of capability that we power through our network in giving the banks who we work with so closely to issue Mastercard products to their consumers, the opportunity to leverage Mastercard installments, which is effectively a buy now, pay later capability they can white-label and offer into their--into their customer base.

And we have a number of partners in the U.S. and other markets around the world who are offering that. It has--the buy now, pay later option, I think, is one that has resonated with certain segments of consumers. And it's, again, back to that notion of choice and wanting to ensure that we play a role in providing that choice, but doing so under an umbrella of trust, of security, while delivering a great consumer experience, that's an important part of our payment strategy. And buy now, pay later propositions fit right in there.

MS. BHATTARAI: Looking ahead a bit, how likely is it that we are headed towards an entirely cashless future? How soon might that happen? Sort of what are your thoughts there? What are we seeing?

MR. VOSBURG: Yeah, it's an interesting question, and I heard that asked to the previous speakers as well. You know, if you look around the globe, there are vastly differing levels of cash still in circulation in different country markets. In some markets, markets like the Nordics, which are extremely digitized to the point of cash being very, very low, single digits going on the border, verging towards nonexistent, to other markets, including very mature economies where cash is still a prevalent way to pay. I think there's an element of this that has to do with societal preferences and values. There's an element of this that will have to do with government policy. I don't expect cash to disappear. I think cash will always play a role in every economy to some extent.

I do think there's additional opportunity for digital payments to continue to displace cash, because there are--there's benefits around convenience. Particularly, as things continue to digitize, commerce continues to go more and more online. Even things, you know, as historically cash-driven as paying to ride the bus or the subway.

MS. BHATTARAI: Mm-hmm.

MR. VOSBURG: Back in the day when we used to put cash in a machine and get a token, now you hold your contactless card at the terminal or you hold your phone and you're making that payment with your credit or your debit card. Those kinds of things are--they're beneficial to society. They are beneficial to consumers. They're hugely beneficial to those transit systems that are taking a lot of costs out of the system, and so we'll continue to see areas like that where digital payments will proliferate. But I think there'll always be a role for cash.

MS. BHATTARAI: Perfect. On the flip side of that, what are the risks when it comes to digital--digitized payments, and how should we think about the trade-offs here?

MR. VOSBURG: Yeah, I think with--I alluded to this earlier, but the digitization of payments introduces some risk into a payment transaction in new forms, new ways to commit fraud or to introduce the risk of fraud, new risks associated with cybersecurity and the--you know, the ability of any of the participants in that digital ecosystem to protect their digital infrastructure from potential cybersecurity attacks.

New kinds of challenges in understanding the identity and being able to authenticate the identity of the counterparties to a transaction. If I'm giving you cash, you can see that it's me. If you and I are transacting online, perhaps on, you know, opposite sides of the globe, it's hard for you to know it's actually me. Am I the person who's authorized to use this payment credential to make a payment to you, et cetera? And all of these are things that have become very important parts of our business in as much as ultimately what Mastercard stands for in the payments ecosystem is trust and providing trust with transactions to ensure the integrity of the transactions, to minimize the impact of fraud in those transactions,

to maximize the ability to authenticate the identity and the authority that individual has to use a credential to make a payment.
And then in the event that something goes wrong, to have a way to remediate the situation, to have a dispute resolution process, to fix things when a payment goes awry, those are all things that we've invested in significantly, as well as providing cybersecurity protection, not just for Mastercard itself but to each of our partners who are connected to the Mastercard network, to enable them to better protect themselves against cybersecurity threats.
So there's sort of a broad range of--a bucket of risks that sort of come with increasing digitization, and those are things that we're very focused on trying to minimize.
MS. BHATTARAI: Paint a picture for us here. What is the exchange of money going to look like in five or ten years? We've established that cash is never completely going away, but how do you expect things to keep changing in the next few years?
MR. VOSBURG: Well, I think a lot of--a lot of that is going to be driven by consumer and business behavior. I'm alluding a lot to consumers, but the same is true of small businesses that are really important stakeholders in the payments ecosystem.
The expectations around increasing choice, the expectations around kind of instant gratification, increasing expectations around the level of security that's provided as part of a payment transaction, while also increasing expectations about reducing the amount of friction that's associated with enabling that security, we can make any payment very secure by introducing so much friction. Prove to me that you're you. Prove to me that you're you. That becomes a bad consumer experience at some point that has the wrong effect ultimately. So getting that balance right from a consumer expectation perspective, these are--these are all things that I think are going to continue to impact and shape the way that payments evolve.
But, again, it's hard to predict what the medium ultimately will be through which money is moved. But the one thing that you can say in any exchange of value, that ensuring that there's a high level of trust associated with that transaction, that will never change. And that's something that we're very focused on.
I should say related to the future and kind of the digitization, I heard some of the commentary earlier related to data.
MS. BHATTARAI: Mm-hmm.
MR. VOSBURG: Data is a very important component of this dialogue and how it will shape the future as things continue to digitize. Data provides an extremely powerful ingredient to improve the quality of those payments, to identify and detect fraud, to help with authentication, to protect against cybersecurity, all these things that I've mentioned. It's also a very powerful tool in increasing the value of the payments transaction itself to the consumer to enable things like increased personalization, getting--having things be more relevant to you and to reduce all of the clutter, all of the noise associated with that.
But data has to be used in the right way, and this comes back to the notion of trust and ensuring that there's really firm commitment, as we have in Mastercard, to

data principles that are grounded in protecting consumers' interests, protecting the business's interest to whom that data is associated, and using it in ways that are enhancing the integrity of the payments ecosystem without exposing individuals to additional risk.

MS. BHATTARAI: Who in that scenario is at risk of losing out or getting left behind, and how can we make sure that doesn't happen? How can we address that?

MR. VOSBURG: Yeah. Well, I think it comes back ultimately to this issue of the digital divide and the comment I made about payments being one of the networks that powers the modern economy. We have to ensure that there's broad access to that in terms of maximizing consumer access, giving them ability to connect into that network, maximizing businesses' access and importantly small businesses.

And we saw a massive--we made a massive effort, and we saw a massive migration of small businesses online during the pandemic when there is an urgency around increasing their access to customers, diversifying their channels, diversifying their revenue streams.

An important part of that is establishing a payments--a digital payments capability, again, with the right security, the right risk management exposures, et cetera.

So ensuring access, because there will be, you know--this is a driver of economic empowerment and economic growth, and we need as many people as possible to be connected into that capability.

MS. BHATTARAI: Fantastic. Well, this has been a fabulous conversation. Thank you so much, Craig, for joining us.

MR. VOSBURG: My pleasure. Yeah, my pleasure.

MS. BHATTARAI: And thank you to all of you for joining us, both here and virtually.

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I am Abha Bhattarai. Thank you again.

[Applause]

[End recorded session]

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